THE NATIONAL COMPANY LAW TRIBUNAL,

NEW DELHI BENCH-IV, NEW DELHI

Company Petition (CAA) No.62 (ND) of 2020

Connected with

CA (CAA) No. 15 (ND) of 2020

Section 230-232

In the Matter of:

1. **ECE Industries Ltd,**
   Registered office at ECE House,
   28-A, Kasturba Gandhi Marg,
   New Delhi-110 001

.....Petitioner Company/Transferee Company

AND

2. **Kumar Metals Pvt Ltd,**
   registered office at 15, India
   Exchange Place, 3rd Floor,
   Kolkata-700 001, West Bengal.

.....Non-Petitioner Company/Transferor Company

CORAM:

DR. DEEPTI MUKESH, MEMBER(JUDICIAL)

SMT. SUMITA PURKAYASTHA, MEMBER(TECHNICAL)

ORDER DELIVERED ON - 12.01.2022

O R D E R

PER SMT. SUMITA PURKAYASTHA , MEMBER (TECHNICAL)

1. This application has been filed by the petitioner company under sections 230 and 232 of the Companies Act, 2013 read with the

Company (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of approving the Scheme of Arrangement, as contemplated between the Transferor Company with Transferee Company.

2. The petitioner transferee company has its registered office within the jurisdiction of this Tribunal.

3. A perusal of the petition discloses that the Applicant Transferee Company had filed the first motion application bearing CA. (CAA) 15 (ND) of 2020. The Tribunal vide its order dated 24.02.2020 has convened with the separate meetings of Equity Shareholders, Secured Creditors and Un-secured Creditors of the petitioner company through video conferencing on 20.07.2020, wherein the proposed Scheme was approved unanimously by all the Secured Creditors and Un-secured Creditors of the Petitioner Company and with overwhelming majority by the Equity Shareholders of the Petitioner Company. The reports of the chairperson have been placed on record.

4. The report of the statutory auditors certifying that the Accounting Standards as required u/s 133 of the Companies Act 2013 had been adhered to is on record.

5. The Arrangement is therefore sought to be justified for the following reasons:

   a) The transferor company is a wholly owned subsidiary of the Transferee company. The proposed amalgamation

would result in consolidation of the Wholly Owned Subsidiary with its Parent/ Holding Company;

b) Both the transferor and transferee companies are under same management and it would be advantageous to us to combine the activities and operations in a single company and building strong capability to effectively meet future challenges in competitive business environment;

c) The proposed amalgamation would result in business synergy, pooling of physical, financial and human resource of these companies for the most beneficial utilization of these factors in the combined entity;

d) The proposed scheme of amalgamation will result in usual economies of a centralized and a large company including elimination of duplicate work, reduction in overheads, better and other resource and enhancement of overall business efficiency. The proposed scheme will enable these companies to combine their managerial and operating strength, to build a wider capital and financial base and to promote and secure overall growth of their businesses;

e) The amalgamation will result in significant reduction in multiplicity of legal and regulatory compliances which at present is required to be made separately by the Transferee company as well as by the Transferor company;

f) The proposed amalgamation would enhance the shareholders value of the Transferor and Transferee company;

g) The said scheme of amalgamation will have beneficial impact on the applicant companies, their shareholders, employees and other stakeholders and all concerned.

The Appointed date is 1st January, 2020.

The scheme of Arrangement provides for the Re-organization of ECE Industries Ltd on Voluntary basis:

1. *Initially, the transferee company-ECE Industries Ltd was listed on BSE Ltd and NSE. However, it remained listed on NSE. Subsequently, the promoters of the transferee company had proposed for complete delisting of the company and accordingly had provided an exit company to the Public shareholders of the company in terms of the provisions of the Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2009 ('the Delisting Regulations') and other applicable provisions, if any. The final exit price, in respect of the Delisting offer of the company was finalized at 233.66 per equity share. Accordingly, all the public shareholders of the company who had successfully tendered their equity shares during the Bid period, were paid the consideration at the Exit price. After the acquisition of the equity shares pursuant to the Delisting Offer, the promoters and promoters group holding in the company increased beyond 90% of the total paid-up equity share capital of the transferee company.*
2. *Post delisting, the transferee company-ECE Industries Ltd has a large number of public shareholders. However, there has not been much liquidity in the shares held by the public shareholders of the transferee company.*
3. *In order to provide further opportunity to the public shareholders of the transferee company, it is proposed to re-organize the equity share capital of the transferee company, by cancelling up to 6,13,872 equity shares*

of 10/- each held by the public shareholders, on voluntary basis, and to issue equivalent numb er of 9% non-cumulative compulsorily redeemable preference shares in place of the such cancelled equity shares.

4. *The proposed re-organization will provide a permanent liquidity option for illiquid shares of the company.*
5. *It is clarified that re-organization of share capital would not involve either the diminution of any liability in respect of un-paid share capital or payment to any shareholder of any paid-up share capital.*
6. *It is further clarified that no creditor of the Transferee company will be adversely affected by the proposed re-organization of share capital.*

7. The applicant companies have now initiated the Second Motion. An affidavit dated 16.10.2020 discloses that the petitioners have effected publication in the daily newspapers "Financial Express" in English and "Hindi, (Delhi Edition) both dated 22.09.2020 inviting objections if any to the proposed Scheme of Arrangement. The affidavit further discloses that due notice of the proposed scheme had been served on the Registrar of Companies, Regional Director, Northern Region, Income Tax Dept. and the Official Liquidator in compliance with the order of the Tribunal.

Pursuant to the Publication in the daily newspapers, for listing of the matter before this Bench, no objector has appeared before us.

Additionally, it has been deposed that no objection to the proposed Scheme has been received by the Applicant Company or their counsel.

8. We have heard the counsels for the petitioners and also considered the representation made by the Regional Director, Northern Region. It is

submitted in the report that neither any prosecution has been filed nor any inspection or investigation has been conducted in respect of petitioner company.

9. An affidavit dated 11.02.2021 filed by the Income Tax department submitting that "*the Transferee company, namely ECE Industries is issuing preference shares to its existing equity shareholders which might have capital gains implications. Therefore, the department requests that the rights of the Income Tax Department to take action as per law should not be prejudiced in view of Hon'ble Supreme Court judgement of Department of Income Tax V. Vodafone Essar Gujarat Ltd [(2015) 16 SCC 629]*".

In response to the above, the petitioner transferee company has filed affidavit dated 15.02.2021 submitting that " *there is no pending Income Tax demand against the petitioner Transferee company, as on date of this affidavit. We undertake and confirm that any liability which may arise in future against the petitioner transferee company, will be paid by the company in accordance with the applicable provisions of law*" .

10. In view of the foregoing, upon considering the approval accorded by the members and creditors of the petitioner/ transferee company to the proposed Scheme, and no objections being raised by the office of the Regional Director or the Income Tax Dept, there appears to be no impediment in granting sanction to the Scheme. Consequently, sanction is hereby granted to the Scheme under sections 230-232 of the Companies Act, 2013. The sanctioned Scheme of arrangement shall be binding on the Transferor and the Transferee Companies and on all their respective shareholders and creditors. The Petitioners shall also be bound to comply with the statutory requirements in accordance with law.

11. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of both the petitioner companies.

12. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, Statutory dues or any other charges, if any, and payment in accordance with law or in respect to any permission/ compliance with any other requirement which may be specifically required under any law.

13. This tribunal doth further order that upon scheme of Arrangement by way of Merger coming into effect;

a) That the entire business, properties and assets of the Transferor company, be transferred without further act or deed to the Transferee company and accordingly the same shall, pursuant to section 232 of the Act, be transferred to and vest in the Transferee company, but subject nevertheless to all charges now affecting the same;

b) That all the assets and liabilities including Income Tax and all other Statutory dues, if any, of the Transferor company, be transferred without further act or deed to the Transferee company and accordingly the same shall pursuant to section 232 of the Act, be transferred to and become the liability and duty of the transferee company;

c) All employees of the Transferor Company in service on the effective date shall become the employees of the Transferee Company on and from such date without any break or interruption in service and upon terms and conditions not less favorable than those subsidiary with the Transferor Company on that date.

d) That all proceedings now pending by or against the transferor company, be continued by or against the transferee company;

14. That petitioners shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the

transferor companies shall be dissolved and the Registrar of Companies shall place all documents relating to the transferor company and registered with them and shall consolidate the files of the companies, is accordingly duly approved and sanctioned in terms of the above.

15. That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

16. The petition stands disposed of in the above terms. Let copy of the order be served to the parties.

-Sd-

Sumita Purkayastha
Member (T)

-Sd-

Dr. Deepti Mukesh
Member (J)